

ARTIFICIAL INTELLIGENCE

Business Case

-

Cash flow Forecasts with
AI for Corporate Treasury

What is the actual situation ?

Example : The weekly cash flow forecasts are done each week on a 4-week rolling basis. Each entity in the scope has to report its cash flow forecast each Monday which are then consolidated by Group Treasury each Tuesday.

These weekly reports enable Group Treasury to optimize the liquidity of the Group and to optimize the financial costs. **Current Accuracy levels based on 2025 data**

	Europe Forecast Accuracy (%)					Recycling Forecast Accuracy (%)				
	Receivables		Payables			Receivables		Payables		
	Weighted AVG	ST Dév	Weighted AVG	ST dév		Weighted AVG	ST Dév	Weighted AVG	ST dév	
Week 1	92%	6%	88%	27%		83%	21%	69%	26%	
Week 2	86%	20%	89%	31%		72%	25%	75%	28%	
Week 3	69%	18%	87%	26%		75%	27%	78%	29%	
Week 4	64%	17%	83%	27%		70%	28%	79%	28%	
Total	78%	15%	87%	28%		75%	25%	75%	28%	

*AVG of 62M receivables and 50M payables

*AVG of 14M receivables and 26M payables

What is the impact ?

Describe the impact and constraints resulting from this situation

Example : Liquidity optimization means having enough cash to meet short-term obligations while also using cash excess to generate returns. **Errors in forecasting disrupt this delicate balance.** Deviation mainly arise from receivables rather than payables due limited data availability in the ERPs. Treasury does not have access to local ERP's

- Potential Overborrowing with unnecessary interest payments
- Increased Borrowing Costs with costly short-term borrowing
- Cash that's not earning the best return is a lost opportunity



KEY METRICS

Input Data / Document Ingestion

- **Source :** source all ERP used at Aperam , Google sheet, Excel files
- **Location :** locally and then centralized in our TMS Reval
- **Initial ingestion volume :** Volume of data of around 2 years
- **Weekly ingestion volume :** Volume of data
- **Content specificities :** numerical data

Users

- **Regular users :** 5/10
- **Interactions :** weekly about 10 interactions

Expected Benefits :

List the expected benefits of this initiative by answering and detailing the non exhaustive list below.
Please do not hesitate to add any other expected benefit in the “others” part.

Business Team : Treasury team

Business Owner : François SIMON



OPERATIONAL

- Efficiency & Productivity : YES

Time saved when we need to reconcile Actuals vs Forecasts

- Quality : YES

Gen AI could help increase substantially the quality of our Cash forecasts from Week 1 to Week 4.

We could also develop for the period Week 5 to 12 ?



FINANCIAL

Direct and indirect cost savings : YES

Less deviation on our Cash position. Better visibility on the end of quarter NFD management and optimize the remuneration / cost of borrowing / cost of working capital financing

Ex: a decrease of our short term financing tool over the year could reduce the borrowing costs by ~ 250k EUR = EUR 10m * 2.5 % pa



MISCELLANEOUS

- Reputation : YES

This approach will bring more stability in our Cash position which will help us in managing our NEU CP program in a more stable way with our investors

OTHERS

Could Gen AI go directly in the ERP datasource to check the original due dates (payables / receivables) and the realised flows per entity ? This will allow us to correct the forecasts including the real behaviors of the customers. It would make the corrected forecasts more robust

Example: our customers are supposed to pay mid month but they usually pay 2 weeks later. This is not provided in the Weekly Cash Forecasts. Same principle with customer and LC's where the original due date is not always respected

Solution Proposed :

Describe the proposed solution in details including the technologies to be involved



TIME MANAGEMENT

- Development time :

Estimated around **X days**

- Business availability :

Critical / Average / Comfortable

- Systems availability :

Critical / Average / Comfortable



RUNNING COSTS

Ingestion :

Costs related to ingestion are estimated around **X €/year**

User consumption :

Costs related to users are estimated around **X €/user/year → X€/year**



ADDITIONAL COSTS

List of any additional costs

(ex : additional licensing costs, specific needs etc...)



SUPPORT & MAINTENANCE

Criticality : Low/Medium/High

SLA : Support to be provided on best timing within 5/3/1 working days



OTHER CHALLENGES

List here the other challenges identified

Ex : Multi-Source Integration, Access Control, Scope Selection, Multi-Language etc...